BEYOND THE HOTEL ROOM

The shift is forcing luxury hotels to rethink offerings beyond accommodation. "The physical product will always matter in luxury," says Anuraag Bhatnagar, Whole-time Director and CEO of The Leela Palaces, Hotels and Resorts. "But what makes a luxury hotel truly memorable is increasingly what it enables a guest to feel, discover and take away from the experience."

One example is Arq By The Leela, a private members' club that combines curated social gatherings, cultural experiences and hospitality within a members-only environment. Leela has opened Arq at Delhi and Bengaluru, with Chennai and Mumbai coming soon.

Leela has also introduced a signature fragrance and original music created by Amaan and Ayaan Ali Bangash. "These propositions can support a more differentiated brand, create additional opportunities for guest engagement and strengthen emotional affinity," says Bhatnagar. "But we are careful not to assume that every experiential initiative automatically translates into longer stays, higher spending or repeat visits."

With Bain estimating the global luxury hospitality market at €251 billion in 2025, the competition increasingly extends beyond rooms, architecture and service to experiences that make a property worth visiting.

"Hospitality has shifted from luxury as status to luxury as something that makes you feel a certain way—the way you experience it, the memories you create, and what you take back home," says Philippe Zuber, CEO of Kerzner International, which operates brands such as Atlantis Resorts and One & Only Resorts. Zuber says that has led to longer stays in properties such as Atlantis The Palm Dubai where Indians now stay 4-5 nights compared to two earlier.



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ANURAAG BHATNAGAR
WHOLE-TIME DIRECTOR AND CEO OF THE LEELA PALACES, HOTELS AND RESORTS

AUTOMOBILES: BEYOND OWNERSHIP

Luxury car manufacturers, too, are investing in experiences. In February 2026, Porsche organised an Ice Experience in Finland for about 50 participants from India, combining performance driving on frozen surfaces with premium hospitality. Lamborghini's Temerario Dynamic Asia programme hosted 18 Indian clients, while Esperienza Neve 2026 brought in a group of three Indian participants.

Held in Yakeshi, Inner Mongolia, the three-day winter driving experience allowed participants to test Lamborghini's hybrid models on ice, alongside gourmet dining, luxury hospitality and curated cultural activities.

'Bentley Extraordinary Journeys' is a members-only programme that takes customers across Scotland, Scandinavia, New Mexico and New Zealand. These are multi-day immersions that combine Bentley's latest models with sustainable luxury stays, private dining and curated cultural access, supported by dedicated concierge and technical teams. For customers, the attraction is access to extraordinary driving environments and a community of like-minded enthusiasts. For manufacturers, such programmes deepen engagement with existing and potential customers.

The car remains the product, but the experience makes owning it desirable.

BEYOND THE SHOPPING BAG

Even luxury retail, traditionally centred on selling expensive products, is evolving into an experience-led business. "Luxury in India has evolved beyond the traditional parameters of